



CORPORATE STRATEGY

Session 7: Restructuring

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TABLE OF CONTENT

1. RECAP ON SESSION 6 & OBJECTIVES OF THE DAY
2. INTRODUCTION TO RESTRUCTURING
3. CASE STUDY & GROUP EXERCISE

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When restructuring fails and when it works

REVENUE SHOCK

Kodak

Filed for bankruptcy in 2012

From \$30B to bankruptcy

Market cap collapse over 10 years

Invented the digital camera in 1975 , then buried it to protect film revenue. By the time restructuring started, the market had moved. 47,000 employees lost jobs.

CASH CRISIS

Carillion

Collapsed in January 2018

£7B

in liabilities, 43,000 employees

Profitable on paper until the end. Massive working capital pressure, £900M pension deficit, growing contract losses. Liquidated in days, no buyer, no rescue.

OPERATING INEFFICIENCY

Boeing

737 MAX crisis in 2019–2024

\$20B+

737 MAX program freeze cost

Two crashes, global fleet grounding, production quality failures. Required full governance restructuring, supplier audits, CEO replacement, 5 years of recovery.

TURNAROUND

Renault in 2021

15,000

jobs cut globally

40 → 24

model range reduced

-0.8B → +2.6B€

EBIT in 2 years

Luca de Meo's bet: cut complexity fast, refocus on margin over volume, reposition toward EV and software. The restructuring worked because the diagnosis was honest and prioritization was ruthless.

DEFINITION - Whats is restructuring?

A **restructuring** is a coordinated set of actions to restore **profitability** and **cash generation** when a business is under pressure (margin erosion, volume drop, cost inflation, debt covenant risk, liquidity crunch).

That gap can come from:

- **External shocks** (market, regulation, macro)
- **Internal weaknesses** (execution, organization, decisions)

The role of strategy is to **diagnose the root causes**, not just cut costs blindly.

2 major tools

- **P&L answers: “Are we profitable?”**
- **Cash flow answers: “Are we liquid?”**

A company can be:

- profitable and insolvent
- growing and destroying cash

Different causes of restructuring (1/2)

In your opinion, what would be the main reasons for restructuring a company?

Give examples!

Different causes of restructuring (2/2)

Restructuring trigger	Typical causes	External drivers	Internal drivers	Concrete real-world example
Revenue shock	Drop in volume, price pressure, adverse mix; fixed costs do not adjust fast enough	Market slowdown, new competitors, regulatory pressure, commoditization	Weak value proposition, high churn, mispricing, poor retention	Netflix (2022)
Cost shock	Structural increase in input costs compressing margins; inability to pass through prices	Energy crisis, raw material inflation, FX shocks, geopolitical events	Weak procurement, no indexation clauses, low operational flexibility	Ukraine war (2022–2023)
Operating inefficiency	Low utilization, excessive layers, complexity explosion, poor process reliability	Demand slowdown revealing inefficiencies	Overstaffing, asset under-utilization, SKU proliferation, weak planning	Boeing (737 MAX crisis)
Cash crisis	Working capital drift, capex overspend, weak cash discipline; EBITDA ≠ cash	Customer payment delays, supply chain disruptions	Poor credit control, excess inventory, over-investment	Carillion (2018)

The P&L role in the restructuring (1/2)

Structure of the P&L

Revenue (Top line)

– **COGS (cost of goods sold)**

= Gross Profit

– **Opex (SG&A, R&D, G&A, marketing, support)**

= EBITDA

– **D&A**

= EBIT

– **interest, taxes**

= Net Income (Bottom Line)

P&L (en €)

CA canal #0

CA canal #1

Chiffre d'Affaires total

Charges variables

Marge Brute

Charges Marketing / Communication

Charges de personnel

Frais généraux

Autres

...

Excedent Brut d'Exploitation / EBITDA

Dotation aux amortissements

Resultat d'Exploitation / EBIT

Charges financières

Resultat Courant Avant Impôts

Impôts sur les sociétés

Resultat Net

The P&L role in the restructuring (1/2)

P&L line	Key KPI	KPI calculation	Interpretation
Revenue	Revenue growth	$(\text{Revenue}_t - \text{Revenue}_{t-1}) / \text{Revenue}_{t-1}$	Shows market traction and pricing power
COGS	COGS ratio	$\text{COGS} / \text{Revenue}$	Indicates production and sourcing efficiency
Gross Profit	Gross margin	$\text{Gross profit} / \text{Revenue}$	Measures the economic strength of the core business
Variable costs <i>(if applicable)</i>	Contribution margin	$(\text{Revenue} - \text{variable costs}) / \text{Revenue}$	Indicates whether incremental volume is profitable
Opex (SG&A, R&D)	Opex ratio	$\text{Opex} / \text{Revenue}$	Reflects overhead intensity and cost discipline
EBITDA	EBITDA margin	$\text{EBITDA} / \text{Revenue}$	Approximates operating profitability before investments
D&A	D&A intensity	$\text{D\&A} / \text{Revenue}$	Signals capital intensity of the business
EBIT	EBIT margin	$\text{EBIT} / \text{Revenue}$	Measures sustainable operating profit
Net profit	Net margin	$\text{Net profit} / \text{Revenue}$	Shows value creation after all stakeholders are paid

A necessary tool: the Cash Flow Statement (1/3)

Why cash flow matters in restructuring?

- Cash determines **survival**
- EBITDA alone can **hide liquidity stress**
- Most restructuring plans fail because **cash timing** is underestimated

En k€
SOLDE DE DEBUT DE PERIODE
Chiffre d'affaires encaissé HT (CANAL #0)
Chiffre d'affaires encaissé HT (CANAL #1)
Autres produits
TVA collectée sur les ventes
TVA à récupérer
Encaissements d'exploitation
Augmentation de capital
Apport en compte courant
Subvention
Emprunt bancaires, prêt d'honneur, etc.
Encaissements hors exploitation
Encaissements
Charges variables
Charges de marketing / communication
Charges de personnel
Frais généraux
Autres charges
TVA déductible sur les achats
TVA à verser
Impôts et taxes
Décaissements d'exploitation
CAPEX
Investissements financiers
Remboursement d'emprunt bancaire + intérêts
Décaissements hors exploitation
Décaissements
SOLDE DE LA PERIODE
SOLDE DE FIN DE PERIODE

A necessary tool: the Cash Flow Statement (2/3)

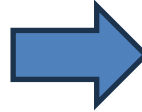
Working Capital represents the **cash tied up** in day-to-day operations.

Working Capital

$= \text{Accounts Receivable} + \text{Inventory} - \text{Accounts Payable}$

BFR

$= \text{Creances clients} + \text{Stocks} - \text{Dettes fournisseurs}$



If **customers pay late** → cash is delayed

If **inventory increases** → cash is frozen

If **suppliers are paid faster** → cash leaves earlier

A necessary tool: the Cash Flow Statement (3/3)

CAPEX (Capital Expenditures) are cash investments in long-term assets (plants, machines, IT, vehicles).



CAPEX investing today, cash out today, benefits later

Examples

Over-investment without short-term returns

Capex decided without cash impact analysis

“Strategic” projects with unclear ROI

Business case (1/2)

- Sector: Apparel retail (physical stores + e-commerce)
- Geography: North America & Europe
- Business model: Seasonal collections
- Context: Demand slowdown + inventory accumulation post-Covid

Management claims: *"We are still profitable, but cash is under pressure."* **Your role: diagnose why and prepare the ground for a restructuring plan.**

	Year N-1	Year N
Revenue	4,200	4,050
COGS	(2,600)	(2,650)
Gross profit	1,600	1,400
SG&A	(1,300)	(1,350)
EBITDA	300	50
Depreciation & amortization	(180)	(190)
EBIT	120	-140
Accounts receivable	180	210
Inventory	1,050	1,280
Accounts payable	(720)	(750)
CAPEX	160	220

Part A : P&L diagnosis

1. Calculate **gross margin** and **EBITDA margin** for Year N-1 and Year N
2. Identify the **main drivers** of margin deterioration (price, volume, cost, opex)

Part B : Cash flow diagnosis

3. Calculate the **change in working capital** (ΔBFR)
4. Compute a simplified **operating cash flow** for Year N:

$$\text{Operating CF} = \text{EBITDA} - \Delta BFR - \text{CAPEX}$$
 Tapez une équation ici.
5. Explain why the company faces a **cash crisis despite positive EBITDA last year**

Business Case (2/2)

1) Margins

Gross margin N-1 = $1,600 / 4,200 = 38.1\%$

Gross margin N = $1,400 / 4,050 = 34.6\%$

→ Margin erosion driven by **higher COGS + markdowns**

EBITDA margin N-1 = $300 / 4,200 = 7.1\%$

EBITDA margin N = $50 / 4,050 = 1.2\%$

→ Operating leverage + SG&A rigidity

2) Working capital & cash

BFR N-1 = 510

BFR N = 740

$\Delta\text{BFR} = +230$ → cash outflow of 230

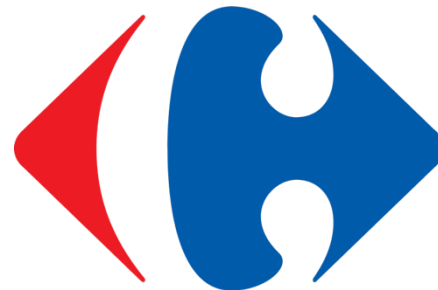
Operating cash flow (Year N):

$$50 - 230 - 220 = -400$$

Concrete levers to generate savings – Procurement & COGS (1/2)

How could we reduce these costs?

Sales are stable, margins are declining.
You are not allowed to raise prices.



Concrete levers to generate savings – Procurement & COGS (2/2)

Supplier renegotiation (price, rebates, payment terms)

Action: Renegotiate prices, rebates, or payment terms with top suppliers.

Mechanism: Lower unit cost or delayed cash outflow improves gross margin and cash.

KPIs: Unit cost, Gross margin, Payment terms (days)

Spec rationalization & Scrap Reduction

Action: Simplify product specifications without impacting customer value and reduce defects, rework, and waste in production.

Mechanism: Cheaper inputs, fewer variants, lower scrap and sourcing complexity.

KPIs: Cost per unit, Number of SKUs, Scrap rate

Dual sourcing / should-cost analysis

Action: Introduce competition between suppliers and calculate theoretical cost.

Mechanism: Restores negotiation power and exposes supplier margins.

KPIs: Purchase price variance, % dual-sourced spend

Logistics optimization

Action: Optimize routes, shipment frequency, packaging.

Mechanism: Lower transport and handling costs.

KPIs: Cost per shipment, Transport cost / revenue

Concrete levers to generate savings - Operations & footprint levers

How could you reduce operational and footprint costs while keeping fast fashion cycles and store availability?

Sales are stable, margins are declining, and you are not allowed to raise prices and to reduce COGS.



Concrete levers to generate savings - Operations & footprint levers

Utilization uplift

Action: Increase utilization of assets, staff, or stores.

Mechanism: Fixed costs spread over higher output.

KPIs: Utilization rate, Cost per unit

Make vs buy

Action: Outsource non-core activities or internalize critical ones.

Mechanism: Align cost structure with strategic priorities.

KPIs: Cost comparison

Site consolidation

Action: Close or merge underperforming sites.

Mechanism: Eliminate fixed costs (rent, staff, utilities).

KPIs: EBITDA per site, Break-even sales per site

Concrete levers to generate savings - SG&A levers (1/2)

How could you reduce headquarters, support, and overhead costs without impacting store performance, customer service, or omnichannel execution?

Sales are stable, margins are declining, and you are not allowed to raise prices.

FNAC DARTY



Concrete levers to generate savings - SG&A levers (2/2)

Span & layers delayering

Action: Reduce management layers.

Mechanism: Lower payroll + faster decision-making.

KPIs: Managers per employee, SG&A / revenue

Tool stack rationalization

Action: Remove duplicate software licenses.

Mechanism: Lower fixed overhead.

KPIs: IT cost per employee, Number of tools

Concrete levers to generate savings – commercial levers (1/2)

How could you improve commercial profitability?

Subscriber growth is flat, margins are under pressure, you are not allowed to reduce COGS, SG&A.

NETFLIX

Commercial levers

Price increases / indexation

Action: Increase prices or activate indexation clauses.

Mechanism: Direct margin improvement.

KPIs: Average selling price, Gross margin

Churn reduction

Action: Retain customers rather than acquire new ones.

Mechanism: Protect revenue with no acquisition cost.

KPIs: Churn rate, Lifetime value

Stop unprofitable or low profitable deals

Action: Set minimum margin thresholds and prioritize high-margin products or customers.

Mechanism: Avoid value-destroying revenue.

KPIs: Deal margin, % deals below floor

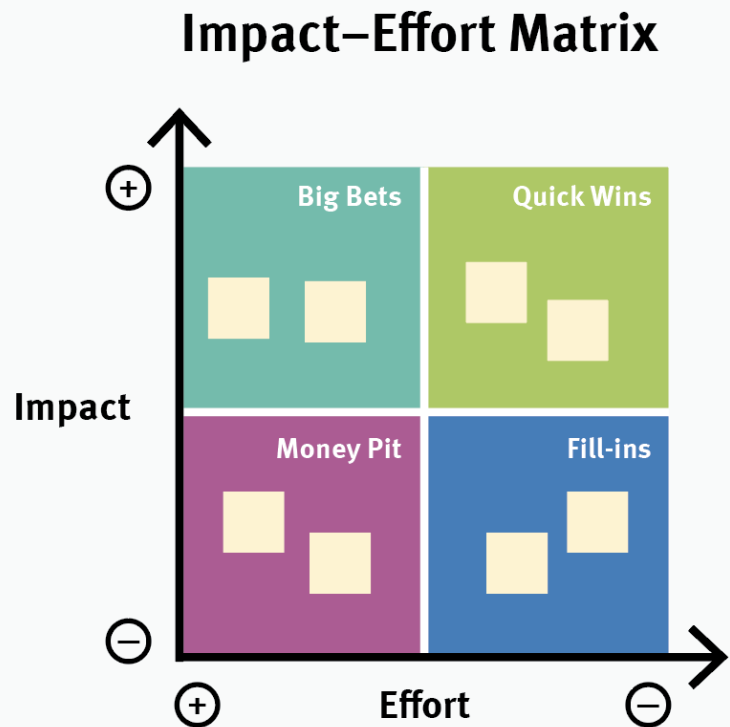
Stop unprofitable deals

Action: Set minimum margin thresholds.

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How to prioritize this levers? - Impact – Effort Matrix



NNGROUP.COM
NN/g

- **Impact** = EBITDA + cash improvement (€/year)
- **Feasibility** = time + complexity + risk + social acceptance + capex needs

Restructuring is not just a financial exercise



Board & Shareholders

WANTS

EBITDA recovery, equity protection, credible 3-year plan

RISK

Push too hard, too fast => break operations chasing targets

LEVER

Separate "quick cash" timeline from structural fix milestones



Banks & Lenders

WANTS

Covenant compliance, cash flow visibility, no payment default

RISK

Covenant breach triggers forced sale or insolvency (cf. Carillion)

LEVER

Proactive waiver negotiation, refinancing, weekly cash reporting



Employees & Unions

WANTS

Job security, transparency, fair treatment, timeline certainty

RISK

Strike, brain drain of key talent, legal challenge to PSE plan

LEVER

PSE plan, retraining, early communication before press release



Customers

WANTS

Supply continuity, SLA respect, no disruption to their operations

RISK

Churn to competitors during uncertainty window

LEVER

Written continuity commitments, dedicated account manager



Suppliers

WANTS

On-time payment, contract clarity, visibility on future orders

RISK

Stop shipping, demand cash-on-delivery — kills production

LEVER

Negotiate extended terms upfront vs. early payment discount programs

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Business Case – Furnico (1/2)

Revenue declining, costs inflated, cash tight. CFO says: “We must restore cash and EBITDA in 12 months.”

Questions (15 minutes)

1. Compute: **Gross margin** 2024 vs 2025 and explain what happened.
2. Compute: **EBITDA margin** 2024 vs 2025.
3. Compute: **Working capital** 2024 vs 2025 and the **cash impact** of the change.
4. Compute a simplified **Operating cash flow** for 2025:
EBITDA – Δ WC – Capex
5. Propose **6 levers** (at least 2 COGS, 2 SG&A, 2 WC), with a rough € impact logic.

	2024	2025
Revenue	120.0	110.0
COGS	(78.0)	(77.0)
Gross Profit	42.0	33.0
SG&A	(28.0)	(29.5)
EBITDA	14.0	3.5
D&A	(6.0)	(6.2)
EBIT	8.0	(2.7)

	2024	2025
Accounts receivable (AR)	18.0	22.0
Inventory	24.0	28.0
Accounts payable (AP)	14.0	13.0
Capex	5.0	7.0

Business Case – Furnico (2/2)

Q1.Gross margin

- 2024 GM = $(120 - 78) / 120 = 42 / 120 = 35.0\%$
- 2025 GM = $(110 - 77) / 110 = 33 / 110 = 30.0\%$

Drop: –5.0 pts.

Interpretation: revenue fell (volume), while COGS did not fall proportionally → likely **lower utilization, inflation not fully passed through, and/or mix deterioration.**

Q2.EBITDA margin

- 2024 EBITDA margin = $14 / 120 = 11.7\%$
- 2025 EBITDA margin = $3.5 / 110 = 3.2\%$

Interpretation: margin collapse is driven by gross margin drop and SG&A increase despite lower

Q3.Working capital and cash impact

WC = AR + Inventory – AP

- WC 2024 = $18 + 24 - 14 = 28$
- WC 2025 = $22 + 28 - 13 = 37$

$\Delta WC = +9 \rightarrow$ **cash OUT = 9m**

Q4.Simplified operating cash flow (2025)

Operating cash flow $\approx$ EBITDA – ΔWC – Capex
 $= 3.5 - 9 - 7 = -12.5m$

Interpretation: even if the company is “still operating”, it is **burning cash** mainly due to WC drift + elevated capex.

Q5.Example levers

COGS

- Supplier renegotiation / should-cost
- Scrap/yield program: reduce material waste

SG&A

- Delaying + stop contractors
- Tool stack rationalization: remove duplicate licenses

Working capital

- AR collection sprint: reduce AR by 3m → **+3m cash**
- Inventory reduction: reduce inventory by 4m (slow movers liquidation) → **+4m cash**